Inventory Management Policy

Kestrel Components Pvt Ltd - Version 2.1

Effective 1 October 2024

Document owner: Supply Chain Excellence | **Approved by:** Chief Operating Officer **Applies to:** All plants, warehouses and storage locations of Kestrel Components Pvt Ltd (fictional company, synthetic document)

1. Purpose

This policy sets out how Kestrel plans, stores, counts and writes off inventory. It exists to keep production supplied while limiting the working capital tied up in stock, and to make sure every stock movement is controlled and auditable.

2. Scope

The policy covers raw materials, bought-in components, semi-finished goods and finished goods held at any Kestrel plant or warehouse. Capital spares and consignment stock owned by suppliers are covered by separate procedures.

3. Material classification

3.1 Every material is classified A, B or C by annual consumption value. Class A materials are the top 70% of consumption value, class B the next 20%, and class C the remaining 10%.

3.2 Classification is reviewed every financial year by Supply Chain Excellence.

4. Safety stock

4.1 **Class A materials:** safety stock must be set to cover **15 days** of average consumption.

4.2 **Class B materials:** safety stock must be set to cover **10 days** of average consumption.

4.3 Class C materials do not carry safety stock; they are replenished automatically (section 6).

4.4 Any temporary increase in safety stock must have an end date and must be reversed on that date.

5. Slow-moving and obsolete stock

5.1 A material with **no movement for 180 days** must be flagged as slow-moving and reviewed by the plant's materials planner.

5.2 The planner must propose one of: use in production, return to supplier, transfer to another plant, or write-off.

6. Replenishment

6.1 **Class C materials** are replenished by **automatic reorder**. The system creates purchase orders when stock falls below the reorder point.

6.2 Class A and B materials are replenished through planner-approved purchase orders.

7. Receiving goods

7.1 Perishable materials (adhesives, sealants, coatings) must have at least **60 percent** of their shelf life remaining when received. Deliveries with less must be rejected.

7.2 Over-delivery against a purchase order is accepted up to a tolerance of **5 percent**. Larger

over-deliveries must be returned or approved by Procurement.

8. Cycle counting

8.1 Class A materials must be cycle counted every **90 days**.

8.2 Class B and C materials are counted at least twice a year.

8.3 A full physical stock-take of every storage location is carried out once each financial year.

9. Stock transfers

9.1 Transfers between plants require approval by the **plant manager** of the sending plant.

10. Write-offs

10.1 Any write-off document above **INR 1,00,000** requires approval by the **Plant Controller**.

10.2 Any write-off document above INR 10,00,000 additionally requires approval by the Chief Financial Officer.

11. Version history

Version	Effective date	Change
1.0	1 June 2019	Policy launched with the move to the new ERP
2.0	1 April 2022	Write-off approvals restated
2.1	1 October 2024	Section 7.1 shelf-life rule for perishable materials introduced